

jobbing in the ring was the ease with which one could keep track of one's positions. At one tap of a key or a click of the mouse, you could know your trading positions down to the last share. But the new format was unexciting in other ways. No longer could you look into the eyes of the counterparty and give a quote based on what you thought he was likely to do. Worse still, you could be beaten by somebody who lacked a genuine understanding of the market, but who simply knew how to work the keyboard faster.

While many jobbers were marginalized in the new system, there were also those who adapted and thrived. Needless to say, yours truly was one among them. And, while electronic trading did make many stocks much more liquid, there were limitations. Large orders could still not be put on the screen because it would drive the prices sharply higher or lower, as the entire market could see them. A large buy order would instantly send the stock price soaring as sellers would seek a higher rate; and if there was a large sell order, buyers would quote very low.

The skill lay in negotiating deals for large blocks beforehand with a potential buyer or seller, and then putting the deal through on the screen. That was where people like GB and, in all humility, I, had an edge over those who only knew how to work the keyboard of their trading terminals.

While electronic trading did away with certain malpractices, it created a few others in the bargain. A group of brokers would get together and trade in a stock among themselves to give an impression of heavy volumes. If five brokers traded 10,000 shares between themselves five times, it would appear that 2.5 lakh shares had been traded. Just creating volumes would not help; the price would have to be pushed up too. So each member of the cartel would sell to the next member of the chain at a slightly higher price.

A member of the syndicate would then spread the word that some big investors had taken a liking for the stock. Within no time, retail investors and day traders would rush in to make a quick buck, and the next 2.5 lakh shares would constitute genuine trading volumes. In the mêlée, the members of the syndicate would quietly unload their positions for a tidy profit and head to the next counter.

In barely eleven months of going live, the NSE nosed past BSE in terms of daily traded turnover, becoming the top exchange in the country. Even the NSE was surprised at the speed with which this happened. As for the veteran brokers on BSE, this was a mighty blow to their egos, especially for those who kept ridiculing the NSE even as it was narrowing the gap with